

leading the way to rationalizing the entire retirement services system. So my dream of providing lifetime services to investors includes a vision that our industry leaders begin to act as statesmen and at last step forward with proposals and designs that will create for our citizens a sound, integrated, disciplined, and secure retirement system. We owe no less to our investors and to our nation.

Dream 3: Long-Term Investment Horizons

My third dream is that our money managers turn back the clock, reverting to our traditional focus on long-term investment strategies. As I wrote earlier, the average fund portfolio turns over at an annual rate of nearly 100 percent—a holding period of barely *one year* for the average stock! Who benefits from such frantic turnover? Not our fund shareholders as a group. Indeed, to state the obvious (again), such trading *must*—and *does*—dilute the returns of our owners in the aggregate. So the fund industry's conversion from its historic focus on the long term to today's focus on the short term has been detrimental to the interests of our shareholders.

There's another great benefit in again becoming an own-a-stock industry. We would be forced to recognize that the interests of our shareholders demand that we act as responsible corporate citizens, carefully examining company financial statements; making our views known on matters such as stock options, executive compensation, and corporate governance; and ensuring that the corporations whose shares we hold are operated in the interests of their shareholders rather than their managers. In today's rent-a-stock industry, focused on speculation, stocks are treated as mere pieces of paper to trade back and forth rather than as the talisman of ownership. As a result, those governance issues are too often ignored. So my dream is that we return to our roots as *investors*, not only because it will be to the economic benefit of our clients, but because we can play the determining role in returning corporate America to its own roots of democratic capitalism.